

years. Some probably didn't, but we did at the fund, and the oil stocks were a big reason. A flat market doesn't mean you can't find stocks that go up.

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From a professional's point of view, as a matter of fact, sideways markets are a pretty good time. If the market is collapsing, which stocks you pick is almost irrelevant. The same is true in a runaway bull market. You don't need to be an analyst. The best investors then are kids who have never lived through a bear market and who just heedlessly buy whatever's moving. In a relatively flat, quiet market, on the other hand, company judgments pay off. The good companies do a little better and the bad companies do a little worse. We earn our keep.

The Crash of 1637

If you want to study crashes, why not start with the first one? The Great Tulip Mania of 1635–37 is a classic example of a boom followed by the inevitable and swift collapse. I suggest the account in Simon Schama's *The Embarrassment of Riches: An Interpretation of Dutch Culture in the Golden Age*, a marvelous evocation of seventeenth-century Holland.

The Tulip Mania shared some common characteristics with other speculative cycles: